

ICMAI
**THE INSTITUTE OF
COST ACCOUNTANTS OF INDIA**
भारतीय लागत लेखाकार संस्थान
Statutory Body under an Act of Parliament
(Under the jurisdiction of Ministry of Corporate Affairs)

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Scope of Total Income of Non-Resident

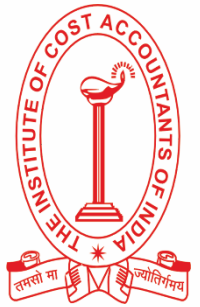


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Chargeability [Sec. 5]

A non-resident's tax liability is confined to Indian-sourced income.



Pillar 1: Receipt

Income received or deemed to be received in India.



Pillar 2: Accrual

Income accruing or arising, or deemed to accrue or arise, in India.



Global Income Exclusion

Income that accrues outside India and is received outside India remains completely outside the Indian tax net.



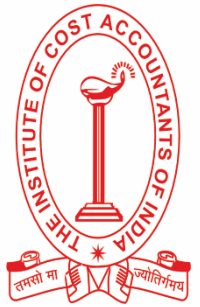
Territorial Jurisdiction

Section 5 establishes the boundary of the Indian tax net for non-residents, ensuring taxation is based on economic connection to Indian soil.

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Transitioning to the Unified "Tax Year" Paradigm



Structural Shift:

The Income Tax Act 2025 replaces the dual "Previous Year / Assessment Year" nomenclature with a single, unified "Tax Year".



Application:

All income earned during the Tax Year (e.g., April 1, 2026, to March 31, 2027) is assessed exclusively for that specific year.



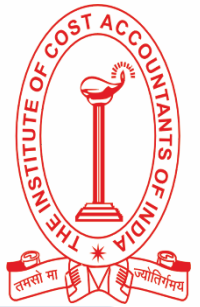
Impact on Non-Residents:

Simplifies withholding tax (TDS) compliances and return filing deadlines, eliminating interpretation mismatches.

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Accrual vs. Receipt – Core Principles



First Incidence Rule

Income is subject to tax based on whichever event occurs first in the timeline—accrual or receipt.



Double Jeopardy

If a non-resident's income is taxed on an accrual basis, it cannot be subjected to tax again when it is remitted or received.



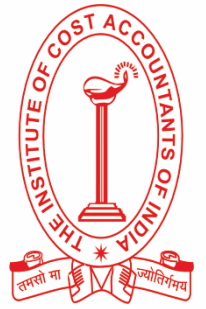
Constructive Receipt

TDS deducted on behalf of the non-resident is considered constructively received by them.

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Section 9(2): The Pillars



Asset / Source

Income through any asset or source of income in India.



Business Connection

Income through any Business Connection in India.



Property

Income through any property situated in India.



Capital Asset

Transfer of a capital asset situated in India.

“Through” shall mean and include “by means of”, “in consequence of” or “by reason of”

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Sec. 9(9): Defining "Business Connection"



Indian Operations

Includes business carried out in India where all or part of operations occur.



Significant Presence

Includes "Significant Economic Presence" (SEP) within the Indian market.



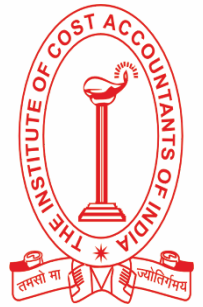
Dependent Agents

Extends to activities carried out by dependent agents acting on behalf of non-residents.

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Sec 9(9)(b): Dependent Agents (Part 1)



Authority

Agent has and habitually exercises authority to conclude contracts for the non-resident.



Contract

Contracts are concluded in the name of the non-resident.



Property Transfer

Contracts cover transfer of ownership or right to use the non-resident's property.



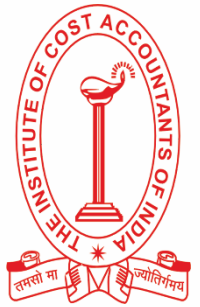
Service Provision

Contracts cover the provision of services by the non-resident.

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Sec 9(9)(b): Dependent Agents (Part 2)



Stock Maintenance

Agent habitually maintains a stock of goods or merchandise in India.



Order Securing

Agent habitually secures orders in India mainly or wholly for the non-resident.



Delivery

Agent regularly delivers goods on behalf of the non-resident.



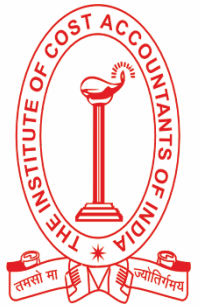
Common Control

Also covers orders for entities under the same common control as the non-resident.

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Sec 9(9)(c): Exclusions from Business Connection



Independent Brokers

Activity carried out through a broker or general commission agent.



Status Requirement

The agent must have an independent status.



Operational Requirement

The agent must be acting in the ordinary course of their own business.

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Sec 9(9)(c): Specific Activity Exclusions (Part 1)



Export Only

Purchase of goods in India strictly for the purpose of export out of India.



News Agencies

Collection of news and views in India for transmission out of India.

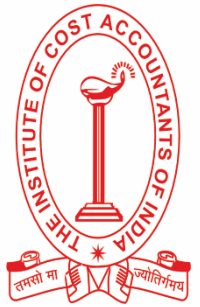


Important Note

News exemption only applies to non-residents running a news agency, newspaper, magazine, or journal.



Sec 9(9)(c): Specific Activity Exclusions (Part 2)



Diamonds

Display of uncut/unassorted diamonds in notified special zones by foreign mining companies.



Film Shooting

Shooting cinematographic films in India by specific qualifying non-residents.



Qualifier

Film exemption applies only if there are ZERO Indian resident or citizen partners/shareholders.

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Sec 9(9)(d): Significant Economic Presence (SEP)



Value Test

Transactions of goods, services, or property exceeding prescribed financial amounts [₹ 2 Crore – Rule 13]



User Test

Systematic and continuous soliciting of business with a prescribed number of users in India [3,00,000 – Rule 13]



Location Agnostic

Significant Economic Presence (SEP) applies irrespective of agreement location, foreign residence, or physical service location.

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Sec 9(9)(e) & (f): SEP Nuances and Attribution



Export Exemption

SEP does NOT apply to transactions confined solely to purchasing goods for export.



Apportionment

Only income "reasonably attributable" to Indian operations is deemed to accrue or arise.



Consistency Rule

The same attribution principle applies to income derived directly from SEP activities.

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Sec 9(9)(g): Digital Income Attribution



Targeted Ads

Income from advertisements targeting Indian residents or Indian IP addresses.



Data Sale

Sale of data collected from a person who resides in India or from Indian IP addresses.



Data Utilization

Sale of goods or services using data collected from a person who resides in India or IP addresses.

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Sec 9(10): Indirect Transfer of Assets



Foreign Entities

Applies to shares or interest in a company/entity registered outside India.



Value Derivation

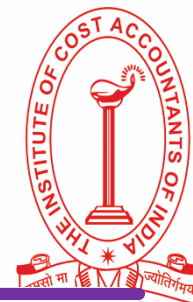
Deemed situated in India if the value is derived "substantially" from Indian assets.



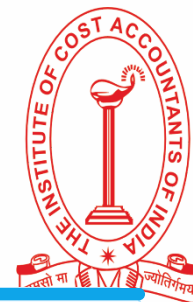
Asset Scope

The rule covers both tangible and intangible assets located in India.

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Sec 9(10)(b): The "Substantial Value" Test



Threshold 1 (Absolute)

Value of Indian assets must exceed ₹ 10,000,000.



Threshold 2 (Relative)

Indian assets represents at least 50% of the value of ALL assets owned by the entity.



Mandatory Rule

BOTH conditions must be satisfied simultaneously on the "Specified Date".

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Sec 9(10)(c) & (d): Valuation & Specified Date



Valuation Basis

Computed on Fair Market Value (FMV) without reducing any liabilities.



Specified Date (Default)

The end of the accounting period preceding the date of transfer.



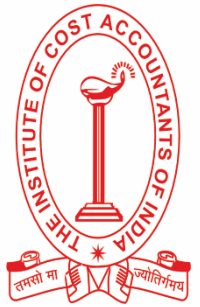
Alternate Date

Date of transfer, IF Indian asset book value increased by 15%+ since the last period end.

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Sec 9(10)(e): Defining "Accounting Period"



Standard Rule

A standard 12-month period ending March 31st.



New Entities

Runs from date of registration/incorporation to March 31st.



Foreign Compliance

A different 12-month period if adopted for foreign tax laws or reporting.



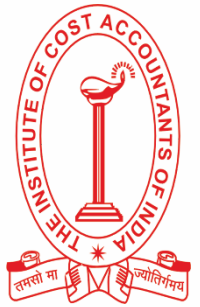
Dissolving Entities

Runs from period start until the date the entity ceases to exist.

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Sec 9(10)(f): Pro-Rata Taxation Rule



Mixed Assets

If a foreign entity holds both Indian and non-Indian assets, taxation is proportional.



Attribution

Income deemed to accrue in India is only the part "reasonably attributable" to Indian assets.



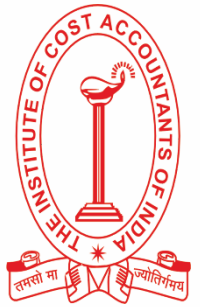
Rule Application

The specific manner of determination and attribution is prescribed by Income Tax Rules.

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Sec 9(10)(g)(i): Exclusions - Portfolio Investors



FPI Exemption

Indirect transfer rules **DO NOT** apply to certain Foreign Portfolio Investors (FPIs).



2014 SEBI Regs

Exemption applies to **Category I or II** FPIs under the 2014 Regulations (prior to repeal).



2019 SEBI Regs

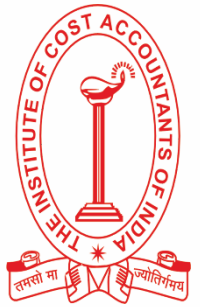
Exemption explicitly continues for **Category I** FPIs under the 2019 SEBI Regulations.

FPI = Foreign Portfolio Investors

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Sec 9(10)(g)(ii): Exclusions - 5% Safe Harbor (Direct)



Blanket Exemption

Applies to small shareholders holding shares by way of investment.



Condition 1

Must **NOT** hold the right of management or control at any time in the 12 months prior.



Condition 2

Holding (with associated enterprises) must **not exceed 5%** of voting power/share capital.

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Sec 9(10)(g)(iii): Exclusions - 5% Safe Harbor (Indirect)



Indirect Exemption

Applies when the transferred entity indirectly owns the Indian assets.



No Control

Must not hold management/control rights in the transferred entity or Indian holding entity.



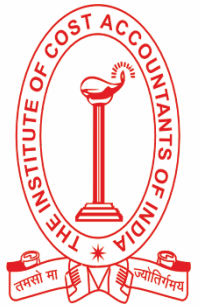
5% Threshold

The effective indirect holding in the entity directly owning Indian assets must **NOT** exceed 5%.

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Sec 9(12): Safe Harbour for Investment Funds



Business Connection Exemption

Fund management by an Eligible Manager for an Eligible Investment Fund is NOT a business connection.



Residency Shield

The Fund does not become an Indian resident merely because the Manager is in India.



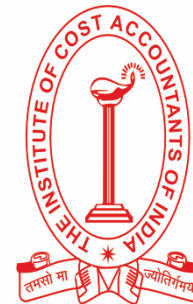
Schedule I

Eligibility conditions for both the Fund and Manager are outlined in Schedule I.

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Sec 9(12): Clarifications & Limitations



Fund Income Limit

Safe Harbour does **NOT** exclude income taxable regardless of the manager's location.



Manager Scope

Does **NOT** affect the scope or determination of total income for the Manager themselves.



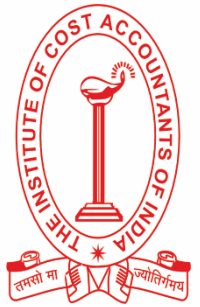
Independent Tax

The manager remains independently taxable on their management fee earned in India.

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Sec 9(12)(f): IFSCs



Govt Notifications

Central Govt can notify relaxation or modification of Schedule I conditions.



IFSC Exclusive

Applicable exclusively if the eligible fund manager is located in an IFSC.



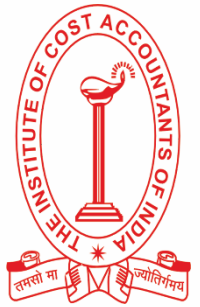
Timeline

Operations must have commenced on or before March 31, 2030, to avail relaxations.

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Interest, Royalty, Fees for Technical Services: Payer Identity



Payable by Government

Always deemed to accrue or arise in India, regardless of utilization.



Payable by Resident

Deemed to accrue in India, subject to a specific "utilization outside India" exception.



Payable by Non-Resident

Deemed to accrue in India **ONLY IF** utilized for a business or profession carried on inside India.

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Sec 9(5)(b): Banking Permanent Establishments



Internal Payments

Interest payable by an Indian PE of a foreign bank to its Head Office (or another foreign PE) is deemed to accrue in India.



Separate Taxability

This interest is chargeable to tax in addition to any other income attributable to the Indian permanent establishment.



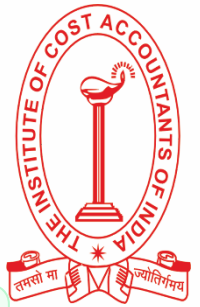
Independent

The PE is legally deemed to be a separate and independent person from the non-resident entity for tax computation.

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Sec 9(6)(b): Defining "Royalty" (Part 1)



Transfer of Rights



Transfer of all or any rights (including licenses) for a patent, invention, model, design, or secret formula.

Technical Knowledge



Imparting information concerning technical, industrial, commercial, or scientific knowledge or experience.

Imparting Information



Imparting any information concerning the working or use of a patent, invention, or secret process.

Equipment Usage



Consideration for the use or right to use any industrial, commercial, or scientific equipment.

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Sec 9(6)(c): Defining "Royalty" (Part 2)



Computer Software

Includes granting rights or licenses for computer software, irrespective of the medium through which it is transferred.



Transmission Processes

"Process" broadly includes transmission by satellite, cable, optic fibre, or similar tech, whether secret or not.



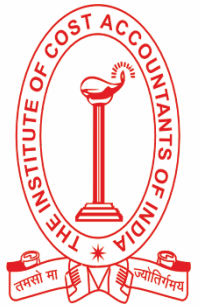
Copyrights & Media

Includes rights for literary, artistic, scientific work, films, and video/radio broadcasting tapes.

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Sec 9(7): Fees for Technical Services (FTS)



Included Services

Consideration for the rendering of any managerial, technical, or consultancy services.



Project Exclusion

Excludes consideration for any construction, assembly, mining, or similar physical projects.



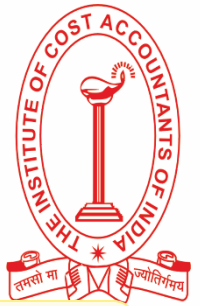
Salary Exclusion

Excludes any consideration that would be chargeable as income under the head "Salaries".

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Sec 9(11): Clarification for Sec. 9(5) / (6) / (7)



No Residence Needed

Income is deemed to accrue in India whether or not the non-resident has a residence in India.



No Place of Business

Taxability applies regardless of whether the non-resident has a place of business or business connection in India.



No Physical Rendering

Income is deemed to accrue in India whether or not the non-resident has actually rendered the services within India.



Statutory Fiction

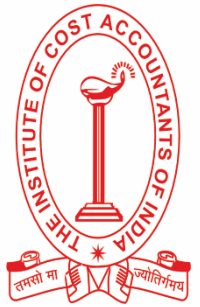
This creates a statutory fiction, prioritizing the location of utilization over the location of performance.

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Presumptive Tax Rates: Dividends & Interest

Sec. 207



Dividends



Taxed at a flat **20%** generally.

A concessional **10%** applies if received from a unit in an IFSC.

Govt / Indian Interest



Taxed at **20%** on foreign currency loans or debts incurred.

Infrastructure Debt Fund



Taxed at a highly concessional rate of **5%**.

Mutual Fund Units

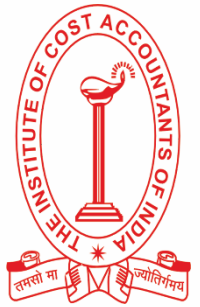


Income from units purchased in foreign currency is taxed at **20%**.

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Special Provisions for Royalty and FTS



General Rate

A flat **20%** rate is applicable on Royalties and Fees for Technical Services (FTS).



CG Approval Conditions

The rate applies if the agreement is with an Indian concern approved by the **Central Government**, or falls under current industrial policy.



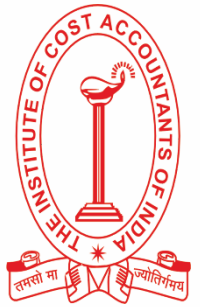
Software & Copyrights

Applies strictly to transfers of rights, including granting a license for copyrights in books or computer software under **specific residency rules**.

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Disallowances & Deductions



Zero Expenditure Deductions

No deduction in respect of any expenditure or allowance shall be allowed under sections 28 to 58, 60, 61, and 93.



Chapter VIII Restrictions

If the gross total income consists only of these specified incomes, no deduction is allowed under Chapter VIII and Schedule XV.



Net Income Adjustments

If there is other income, the gross total income is reduced by these specific items, and Chapter VIII applies only to the balance.



IFSC Exemption

These strict disallowance provisions under sub-section (6) shall not apply to deductions allowed to an IFSC unit under section 147.

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Return Filing Exemptions



Exemption Threshold: An assessee is not required to furnish an income tax return under section 263(1) if **specific dual conditions** are satisfied.



Condition 1: Specified Income

Total income during the tax year consists **solely** of the specified dividend, interest, royalty, or FTS incomes.



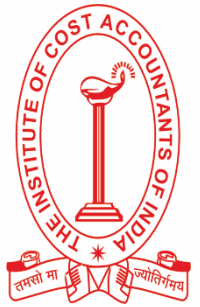
Condition 2: Full TDS Compliance

Tax deductible at source (TDS) has been **fully deducted** from such income at a rate not less than the rates specified under this section.

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Sec 159: Double Taxation Avoidance Agreement



The Central Government may enter into an agreement with the Government of any other country or specified territory.



Any specified association in India may enter into an agreement with a specified association in the specified territory.

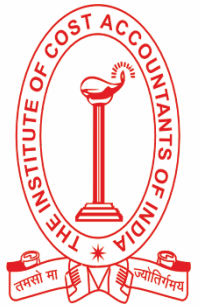


The Central Government may make provisions by notification to adopt and implement such agreements.

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Objectives of DTAA



Granting relief in respect of income on which income-tax has been paid in both countries or territories.



Granting relief for income-tax chargeable to promote mutual economic relations, trade, and investment.



Avoidance of double taxation without creating opportunities for non-taxation or reduced taxation.

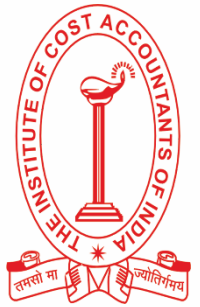


Explicitly prevents tax evasion or avoidance, including through treaty-shopping arrangements aimed at indirect benefits.

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Exchange & Recovery



Exchange of information for the prevention of evasion or avoidance of income-tax.



Exchange of information for the investigation of cases of such evasion or avoidance.

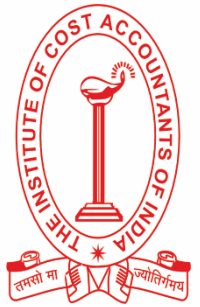


Recovery of income-tax under this Act and under the corresponding law in force in that country or specified territory.

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Beneficial Provisions



Beneficial Rule Application

Where an agreement exists, the provisions of this Act shall apply to the assessee to the extent they are more beneficial.



Chapter XI Exception

Irrespective of the beneficial rule, the provisions of Chapter XI (i.e., GAAR) shall apply even if they are not beneficial to the assessee.



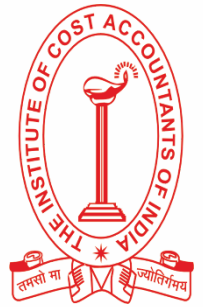
Foreign vs. Domestic Rates

Charging a foreign company or a company in a specified territory at a higher rate than a domestic company is not regarded as a less favourable charge.

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Understanding of different terms



Defined in Agreement

Terms defined in the agreement shall have the same meaning as assigned to them in that agreement.



Defined in the Act

Terms defined in the Act but not the agreement shall have the meaning assigned in the Act.



Government Notification

Terms not defined in either may be assigned a meaning via Central Government notification.



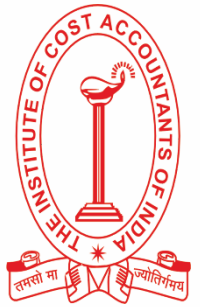
Other Central Tax Acts

Terms not defined anywhere else shall have the meaning assigned in any Act of the Central Government related to taxes.

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Non-Resident Claims



Certificate of Residency

A non-resident can claim relief only when a certificate of residency is obtained from the Government of that country or territory.



Additional Documentation

The non-resident must also provide such other documents and information as may be prescribed.



"Specified Association"

Means any institution, association, or body functioning under law and notified by the Central Government.



"Specified Territory"

Means any area outside India notified as such by the Central Government.

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Rule 75: Documentation & Tax Residency Certificates

Non-Resident Compliance



Non-residents claiming relief under Section 159 must submit statutory declarations via Form No. 41.

Maintenance Mandate



Assesseees are legally required to keep and maintain all necessary supporting documents to substantiate Form No. 41 claims for verification.

Resident Application



Indian residents seeking a Tax Residency Certificate (TRC) must submit an application using Form No. 42 to the Assessing Officer.

TRC Issuance



Upon satisfactory review of the application, the Assessing Officer officially issues the Certificate of Residence in Form No. 43.



Rule 76: Core Mechanics of Foreign Tax Credit

Year of Assessment

Credit is granted only in the tax year in which the corresponding foreign income is offered or assessed to tax in India.



Credit Eligibility

Indian residents are allowed a credit for foreign taxes paid in a country or specified territory outside India via deduction or otherwise.

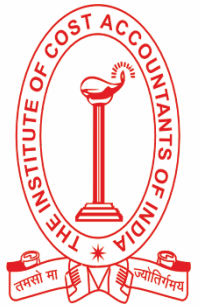


Proportional Allocation

If foreign income is spread across multiple tax years, the FTC must be allowed across those years in the same proportion.



Permissible Taxes & Strict Exclusions



Covered Tax - DTAA Countries

Foreign tax covered under a specific bilateral agreement executed under Section 159.



Covered Tax - Non-DTAA Countries

Foreign tax payable under the respective law in force in the nature of income-tax under Section 160(3)(a).



Mitigation Scope

Credit is fully available against the tax, surcharge, and cess liabilities payable under the Indian Income-tax Act.



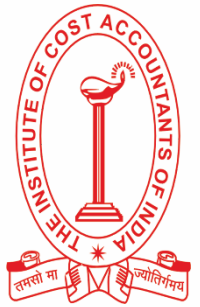
Explicit Disallowance

No credit can be claimed or adjusted against any sums payable by way of interest, fee, or penalty.

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Treatment of Disputed Foreign Taxes



General Disallowance

No Foreign Tax Credit shall be available in respect of any amount of foreign tax or part thereof that is disputed by the assessee.



The Settlement Exception

Credit is restored if the dispute is finally settled and the assessee complies with statutory timelines.



6-Month Timeline

Assessee must furnish proof of dispute settlement and evidence of tax discharge within 6 months from settlement month end.



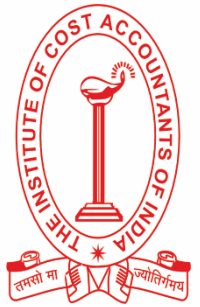
Required Indemnity

The practitioner must submit a formal undertaking that no refund of such settled foreign tax has been/will be claimed.

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FTC Computation Rules & Currency Conversion



Source-wise Computation

The total credit allowed is the aggregate of credits computed separately for each specific source of income arising outside India.



The Lower-of-Two Rule

The credit is strictly limited to the lower of the Indian tax payable on that foreign income or the actual foreign tax paid.



Capping Excess

Where the foreign tax paid exceeds the Indian tax payable in accordance with the DTAA or rules, such excess is completely ignored.



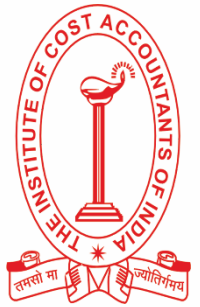
Conversion Metric

Foreign currency translation must be determined using the TT Buying Rate on the last day of the month immediately preceding the month of payment.

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Mandatory Filings for FTC Claims



Form No. 44 Filing

Assessee must file a comprehensive statement of income offered for tax from the foreign territory along with corresponding foreign tax details.



Tax Authority Certificate

A formal certificate/statement specifying the nature and amount of tax deducted or paid, issued by the foreign tax authority.



Self-Attestation Option

Alternatively, a statement specifying tax details from the person responsible for deduction, or one directly signed by the assessee.



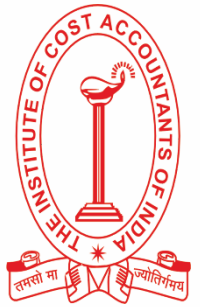
Proof of Payment

The certificate or statement must be accompanied by an online payment acknowledgement, bank counter foil, challan, or proof of deduction.

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Compliance Timelines & Special Scenarios



Standard Statutory Timeline

Form No. 44 and its accompanying certificates must be furnished within 12 months from the end of the relevant tax year.



Updated Returns Alignment

If a return is furnished under Section 263(6)(a), Form No. 44 must be submitted on or before the date such updated return is filed.



Carry Backward & Revisions

Form No. 44 must be refurnished or updated if a carry backward of loss or a revised return results in a refund of foreign tax.



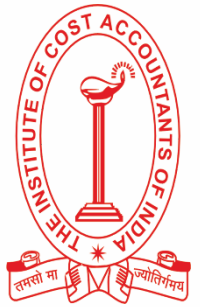
Dispute Intimation

For tracking disputed taxes, the assessee is required to furnish a formal intimation via Form No. 45.

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Mandatory Audit Verification Thresholds



Corporate Assessee

Form No. 44 must be verified by an independent practicing accountant as defined under Section 515(3)(b).



Non-Corporate Threshold

For all other categories of assessee, accountant verification is mandatory if foreign tax paid equals or exceeds ₹ 100,000.



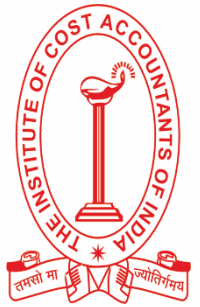
Form No. 45 Interdependence

Form No. 45 (dispute intimation) must also be verified by an accountant if the corresponding Form No. 44 required audit verification.

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Introduction to Form 44 & Basic Info



Statement of Income

Statement of income from a country or region outside India.



Primary Details

Requires details in Part A: Name, Address, PAN, and specific Tax Year.



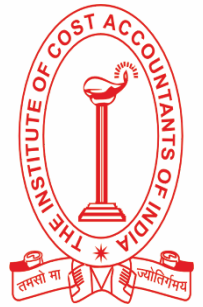
Mandatory Filing

Mandatory for taxpayers claiming FTC under sections 159 & 160 of the IT Act, 2025.

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Part B: Computation of FTC



Claim credit for taxes paid outside India on Salary, House Property, Business, Capital Gains, and other sources.



Tax computed under normal provisions of the Act compared with DTAA rates to determine eligible credit.



Disputed foreign tax amounts must be reported and excluded from the final claimed credit.

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Part C: Dealing with Foreign Tax Refunds



Step 2: Declaration

Requires declaration if credit was already claimed in India for the refunded amount.

Step 1: The Trigger

Address situations where a carry backward of loss or ITR revision leads to a foreign tax refund.

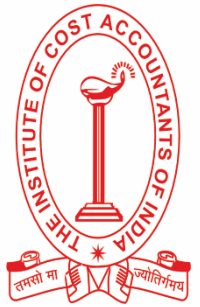
Step 3: Specification

Taxpayer must specify the reason, amount of foreign tax refunded, and the relevant Tax Year(s).

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Verification & Certification



The taxpayer must declare all info is true and no facts are concealed.



Requires Verification by an Accountant examining books and foreign tax payment proofs.

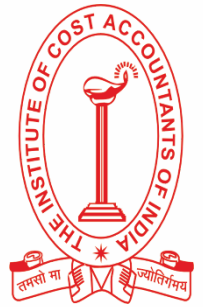


Accountant must provide their Membership Number, Firm Registration Number, and a valid UDIN.

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Schedule FA: The Disclosure Imperative



Applicability Note

While FTC applies to residents earning foreign income, it is critical to remind assesseees that holding foreign bank accounts, signing authority, or business interests triggers mandatory reporting in Schedule FA.



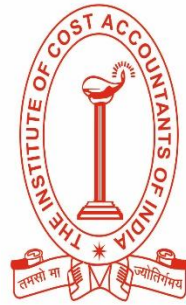
Black Money Act Risks

Failure to report the source asset (e.g., the foreign bank account where foreign fees were deposited) in Schedule FA can invite draconian penalties under the Black Money Act, 2015, even if the income was fully offered to tax and Form 67 was filed.

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Thank You



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COST ACCOUNTANTS OF INDIA

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